

INTERNAL · NOT FOR CLIENT

Tier rationale Moon Juice.

Growth + Studio at launch.
Higher Studio cost. Higher legal scrutiny.

Audience · Internal only

Use · Reference for the conversation; never share with the brand

Status · Draft for discussion · regulatory considerations require lawyer review before contract

THE RECOMMENDATION

Growth (\$3,500) + Studio (\$750) = \$4,250/ mo at launch.

Same shape as the other clients on the surface — but Moon Juice is operationally heavier (Apothecary citation manager + compliance review queue + Rx-interaction warnings + refill subscription ops + multilingual). Margin is thinner than other clients. Walk-away signals are sharper.

DIFFERENT FROM THE CLOTHING BRANDS

What makes Moon Juice operationally heavier than the apparel clients.

1. Regulatory exposure

FDA / FTC supplement marketing rules. AI cannot say "treat", "cure", "prevent disease." Every claim requires citation. Brand-side legal review is non-negotiable.

2. Rx interaction handling

Customers disclose medications. AI must flag interactions and defer to physicians. We need a real interaction database and physician-confirmation workflow.

3. Subscription ops at scale

Refill management is the brand's LTV mechanism. Pause/skip/accelerate/bundle workflow needs to be calm, humane, and bulletproof.

4. Health-data adjacency

Goals, allergies, Rx, cycle data — not HIPAA but close to it under CCPA-CMIA + GDPR special category. Privacy posture must be tighter than apparel clients.

WHY STARTER IS DISQUALIFIED

Same as other brands — single-platform, 5-screen, no AI.

STARTER CONSTRAINT	MOON JUICE REALITY
Single platform	Both — DTC + Sephora customer base mixed iOS/Android.
5 screens	Phase 1 is ~18 screens including Apothecary, Stack, Refill Vault.
No AI	Apothecary chat, goal-to-stack, Rx interaction detection are all core to value AND compliance — without them, the proposition fails.
24h email support	Rx-interaction questions need same-day response — slow response damages trust.

STUDIO ADD-ON (\$750/mo) — HIGHER REAL COST HERE

Studio is doubly important and meaningfully more expensive to run than apparel clients.

Compliance review queue + Apothecary citation manager + interaction database + refill ops together push real cost up. Worth flagging in pricing reviews — at scale this could justify a \$1,000/mo Studio tier.

COMPONENT	REAL COST / MO	MARGIN NOTES
Web hosting	\$30–60	Slightly higher; compliance review tooling adds load
DB delta (citations, interactions, refill ops, Rx flags)	\$15–35	Higher than apparel — more relational complexity
Object + audio storage (ritual narrations × 3 langs × N rituals)	\$15–35	Audio library + product imagery
Editorial AI (apothecary drafts, citation extraction, translation, compliance pre-screening)	\$50–120	Highest of any client — compliance pre-screen is expensive
Email + push (refill reminders, ritual nudges, Rx flag alerts)	\$15–35	Higher tx volume from refills
Auth (~30 internal seats — editors, refill ops, concierge, compliance, founder)	\$0	Free tier on Supabase / Clerk
External services (Rx interaction database license — RxNorm, etc.)	\$30–80	Wellness-specific
Subtotal infra + AI	~\$155–365	Roughly 2× Encircled / Kotn

MARGIN AT \$750/MO

Real cost ~\$260/mo (mid-band). Includes ~5 maintenance hrs/mo. Gross margin ~50–65% before maintenance hours consumed. **Tighter than other clients.** Push back on \$750 if AI usage spikes; discuss \$1,000/mo Studio for Year 2.

STUDIO ONE-TIME BUILD COST

Roughly **\$45–65K** on top of the mobile build. 10 modules in Phase 1: auth + Apothecary editor with citation manager + adaptogen library + compliance review queue + Ritual library + goal-stack rules engine + drop scheduler + refill ops dashboard + concierge + analytics. Higher than other clients due to the compliance review queue + interaction database integration — these are net-new modules with no apparel-client equivalent.

YEAR-2 UPGRADE TRIGGERS

Move them to Enterprise the moment any one fires — likely faster than apparel clients.

TRIGGER	WHY IT FORCES THE UPGRADE
Practitioner B2B portal	Naturopaths / coaches with white-label client tracking — SSO + audit logging + RLS hardening.
Health-data integration (Apple Health, Google Fit, cycle data)	HIPAA-adjacent / CCPA-CMIA — Enterprise tier provides the audit logging required.
EU expansion makes data residency contractual	GDPR special-category data (health) — Enterprise residency is essentially required at any EU scale.
AR ritual visualization	Native modules for stable on-counter AR.
24/7 SLA from Sephora / major retail partner	When a major partner makes uptime contractual.

LIKELIHOOD BY MONTH 12

Health-data integration: **high**. Practitioner portal: **high** — naturopaths are obvious distribution. EU residency: **medium-high** — wellness brands expand to EU early. Sephora SLA: **medium**. Realistic timeline to Enterprise is 12–15 months, not 18+ like apparel clients.

How to anchor and protect the conversation.

- **Lead with compliance, not features.** Most wellness apps cut FDA / FTC corners. Position our AI guardrails as the brand's protection.
- **Studio is mandatory and the Apothecary citation manager is the killer demo.** Show the legal-team-approval flow. Kills competitor proposals.
- **Pre-negotiate the Enterprise upgrade path.** 12–15 month timeline expected — make the upgrade fee visible early.
- **AI overage clause is non-negotiable.** Apothecary chat in 3 languages with compliance pre-screening is expensive.
- **Brand-side legal review on every customer-facing claim.** Get this signed in the contract before any work starts.
- **Rx interaction database licensing.** Pass-through at cost (RxNorm is free; commercial APIs aren't). Make this explicit.

Internal-only notes — sharper than apparel clients.

REPUTATION RISK TO MANAGE

One AI hallucination claiming an adaptogen "treats anxiety" or "cures fatigue" is an FDA warning letter waiting to happen. Insist on brand-side legal review of every customer-facing claim. Budget for an in-house compliance reviewer on our team, not theirs. Walk away if they push back.

MARGIN TARGET — COMBINED

Growth tier infra+AI cost at expected MAU (~10K active in Year 1) is ~\$1,400–1,800/mo. Plus Studio at ~\$260/mo. At combined \$4,250/mo we're at 50–60% gross before maintenance dev. **Tightest margin of any client.** Watch the AI line carefully — Apothecary chat is the swing factor.

UPSELL SEQUENCING

Don't propose practitioner B2B portal at the same time as Phase 1 contract. Land Growth + Studio, deliver Apothecary + Refill Vault + Ritual well, prove the compliance posture works, *then* propose Enterprise + practitioner portal as the next step.

WALK-AWAY SIGNALS

(1) Brand pushes back on legal review of AI claims. (2) Brand wants to ship before discovery is complete. (3) Brand resists Rx interaction database licensing as cost-plus. Any one of these = walk. Wellness reputation risk is too high to absorb.

RECOMMENDED ASK

Growth (\$3,500) + Studio (\$750) = \$4,250/mo for Year 1. Pre-negotiated Enterprise upgrade by month 12–15. AI overage at cost +20%. Brand-side legal review on every customer-facing claim. Rx interaction database license at cost-plus. \$45–65K Studio build inside Phase 1.

Right tier for the launch — but watch the margin. Plan for Enterprise faster than other clients. Walk if brand-side legal review is contested.